

most of the errors newbies make over their first decade as investors.

There is a concept I suspect is related to DKE called “The Illusion of Explanatory Depth.”³⁸¹ It is the intriguing idea that *we think* we actually know much more about things—and can easily explain them—when, in fact, we do not.

Stephen Dubner discussed this idea in an episode of *Freakonomics*: “Think of something you have a really strong opinion about. ... Now think about why you have such a strong opinion. How well do you think you could explain your position?”³⁸²

Could you explain how a toilet or zipper or ballpoint pen or bicycle works? Can you describe how pencils are manufactured? You may imagine you understand these things, but once you try to explain the specifics, you falter.

Steven Sloman is a Professor of Cognitive and Psychological Sciences at Brown University. He is co-author of *The Knowledge Illusion: Why We Never Think Alone*.³⁸³ He told Dubner:

If you’re forced to give an explanation, you have to really understand, and you have to confront the fact that you might not understand. When you give reasons, you do what people do around the Thanksgiving dinner table: They talk about their feelings about it, what they like, what they don’t like.

A possible reason for this illusion today is that all of the accumulated knowledge of humanity is but a click away. In an interconnected information environment, we are all *knowledge adjacent*. We may not know exactly how zippers or ballpoint pens work, but we do know how to find out.

Nobel Prize-winning physicist Richard Feynman suggested, “If you want to master something, teach it.” (He also observed, “I learned very early the difference between knowing the name of something and *knowing* something.”)